EXECUTIVE TRANSACTION BRIEF

Penske Automotive Group, Inc. (public unaffiliated stockholders) / Motown Acquisition Corp. AUDIT ID: AUDIT-PENS-MOTO-20261021-REV1

01. TRANSACTION STATE & PARTIES

TARGET: Penske Automotive Group, Inc. (public unaffiliated stockholders) | ACQUIRER: Motown Acquisition Corp. (consortium entity owned by Penske Corporation / Pe

STRUCTURE: Merger / Controller Take-Private (Cash Merger)

02. WHAT IS THE MATERIAL PRESSURE?

Penske Automotive Group, Inc. (NYSE: PAG) faces structural vulnerability in its proposed take-private transaction by Motown Acquisition Corp. (64% Penske Corporation, 36% Mitsui & Co.). The transaction relies on a bifurcated stockholder approval structure where the Kahn v. M&F Worldwide Corp. (MFW) minority cleansing prong is contractually defined as 'a majority of the votes cast by the disinterested stockholders (as defined in Section 144 of the DGCL)' rather than a majority of all outstanding unaffiliated shares. This votes-cast formulation creates an identifiable litigation target under Delaware Chancery Court entire fairness jurisprudence, compounded by an 8.6% premium over the pre-announcement unaffected price ($212.00 cash vs. $210.00 initial bid, $195.21 unaffected baseline). Concurrently, closing is conditioned on securing complex OEM change-of-control consents across global franchise networks and executing debt backstops for a $502.7M mandatory 101% par Change-of-Control Put on PAG's 3.75% Senior Subordinated Notes due 2029.

03. WHERE DOES THE PRESSURE PROPAGATE? (CHAIN ANALYSIS)

- **TRIGGER:** Stockholder litigation filing in the Delaware Court of Chancery alleging failure to satisfy the strict dual-procedural prerequisites of MFW due to the adoption of a 'majority of votes cast' standard rather than a majority of all outstanding unaffiliated public shares, alongside activist public 'vote-no' / bumpitrage mobilization targeting the 18,007,168-share minority float.

- **AMPLIFIER:** The consortium's 72.6% beneficial ownership lock-up and concurrent Support Agreements pre-empt third-party alternative bids, while PAG's operational stability depends on clearing OEM franchise change-of-control consents (e.g., BMW, Porsche, Freightliner) and executing the Thirteenth Amendment to the U.S. Credit Agreement, which conditions $900.0M of upsized revolver capacity and a $400.0M Overadvance line on the concurrent funding of at least $2.2B in sponsor equity.

- **MECHANISM:** Delaware plaintiff challenges MFW applicability based on the 'votes cast' minority approval mechanic, moving for expedited discovery and entire fairness review.

- **EXPOSURE:** Institutional minority holders (representing portions of the 18.0M unaffiliated shares) organize a proxy opposition campaign, leveraging the low threshold to defeat the deal under the 'majority of votes cast' mechanic.

- **CONSEQUENCE:** Potential loss of the business judgment rule protection if the Delaware Court of Chancery rules that a 'majority of votes cast' standard does not satisfy Kahn v. M&F Worldwide Corp. prerequisites, restoring the entire fairness standard of review and exposing controlling stockholders and Special Committee members to substantive valuation scrutiny and disclosure-based liability.

04. WHAT CAN BREAK? (KEY CONTRACTUAL EXPOSURES)

Litigation Exposure under Delaware MFW Review Standard: Delaware Chancery Court ruling denying business judgment review and subjecting transaction to entire fairness. (Leverage: 8.5/10 - Owner: Legal)

Change-of-Control Put Liability on 3.75% Notes: Failure of Buyer to deliver executed credit agreements backstopping $502.7M par liability 30 days prior to vote. (Leverage: 7/10 - Owner: Credit)

Non-Captive OEM Change-of-Control Consents: Receipt of formal notice of franchise termination or ROFR exercise from an OEM representing >10% of dealership revenue. (Leverage: 6.5/10 - Owner: Legal)

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05. WHAT REMAINS UNKNOWN? (NEGATIVE KNOWLEDGE REGISTER)

Confirmation of written consents and operational ROFR waivers across PAG's 368 retail automotive dealerships and 45 commercial truck centers (BMW, Freightliner).

Definitive Schedule 13E-3 proxy statement filing date and disinterested public stockholder Special Meeting calendar.

Form 10-Q confirmation of whether holders of the $497.7M 3.75% 2029 Notes will exercise the 101% Change-of-Control put upon closing.

06. WHAT SHOULD THE DECISION-MAKER VERIFY? (ACTIONABLE MANDATES)

[1] Condition closing on delivery of executed sponsor equity commitment joinders and verified regulatory clearance milestones.

[2] Verify debt financing commitment letter flex terms, fee letters, and examine definitive marketing period triggers.

[3] Audit Schedule 13D/A beneficial ownership filings to identify voting concentration, lock-ups, and shareholder approval margins.

[4] Demand primary contract disclosure schedules regarding pending litigation, material contracts, and unestablished representations.

RAVEN STRATEGIC VERDICT:

Require the Special Committee to execute a formal amendment to Section 7.01 of the Merger Agreement modifying the minority voting condition from 'a majority of votes cast' to 'an affirmative vote of a majority of all outstanding shares held by Unaffiliated Company Stockholders' to ensure strict MFW business judgment compliance, while securing executed debt credit agreements confirming liquidity backstops for the $502.7M Senior Subordinated Notes Change-of-Control Put.